



TEAM MEMBER HANDBOOK

Sterling Restaurants

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WELCOME TO MOE'S!

We are very happy that you have decided to join our team and help Sterling Restaurants achieve our **VISION** to be universally recognized as the premiere franchisee in the Moe's system.

On July 14, 2009, we formed Sterling Restaurants, LLC and bought the very first Moe's. We have been buying and building Moe's Southwest Grill restaurants like crazy and plan to keep going! We operate 50 stores in Alabama, Florida, Georgia, South Carolina and North Carolina. We also operate one Shane's Rib Shack in Rome, Georgia.

As a company, our **PURPOSE** is to help people realize and achieve their dreams. This includes you!

Our **MISSION** includes three things:

- Develop people
- Run great restaurants
- Acquire restaurants

While it is important for us to create and build a successful company, it is just as important that we do it right. We came up with our **CORE VALUES** so that we could easily explain to people what we are all about.

Be **REAL**!

- **Run** it like you own it
- **Elevate** others
- **Always** do the right thing
- **Live** positive!

Our Core Values are how we treat others and how we expect to be treated ourselves. It is our hope that these will help you solve the problems that you will encounter during a typical day. If you ever find yourself unsure how to act, please look at these Values and they will help you solve any problem.

We're glad you joined us and hope we have a lot of fun together! Welcome to Sterling!

Mark S. Monroe
CEO

CORE VALUES

Run It Like You Own It

- Take responsibility for your actions
- Be financially responsible
- Give your best every day

Elevate Others

- Trust, teach and encourage
- Avoid negativity, gossip and cynicism
- Help the people around you!

Elevating others also applies to our communities. Our community allows us to stay in business and we never forget that. We want to make a big impact on our community! We want to achieve big things here and we want to do it together. Remember to always Elevate Others!

Always Do the Right Thing

- Be honest and tell the truth
- NEVER discriminate, harass or steal
- Do what you KNOW is right!

We want to associate with people and organizations that have standards as high as ours. If we do something, we do it right.

This core value is non-negotiable in our company. Any unethical behavior will get you immediately dismissed. Unethical behavior includes any harassment, discrimination, being asked to work off the clock, lying, cheating or stealing.

It is everyone's job to police this. It is your job to protect OUR company.

Live Positive!

"Think positive, be positive and positive things will happen." – Unknown

- We believe that the glass is half-full
- "Knocked down 7 times, get up 8"
- We believe that people are genuinely good
- Smile!

At Sterling, we hire people with a similar, sunny outlook. If you are naturally negative, it doesn't make you a bad person, but this may not be the best place for you. If you are a positive person, you are going to love it here!

OUR GUARANTEE

We want our customers to leave happy! You can do whatever it takes to make sure that everyone leaves the store satisfied.

If you notice that a customer is unhappy, take the initiative to find out why and solve the problem! You are encouraged to do whatever it takes to make our customers happy.

We take great pride in serving the best food in the Moe's system. This starts with proper receiving, correct storage and rolling a perfect burrito! We want you to take pride in this. Do your part to ensure our food is fantastic!

We also expect to deliver the best service of any Moe's in the nation. As Our Guarantee states, do your best to deliver great service and go above and beyond what our customers would expect.

Our customers expect to see a spotless store when they walk in. If you see something that needs attention, either take care of it yourself or tell your General Manager. Help us keep the store spotless so that our customers return again and again and again!

EXTRAORDINARY PEOPLE

We want to be known for our commitment to being EXTRAORDINARY. This begins with people who want to be more than average, people who are never satisfied with the status quo, always looking for improvement, seeking to be the best they can be and who really enjoy what they do.

FANTASTIC FOOD

Our food is delicious, craveable and always served hot and fresh, as if we were preparing it for ourselves.

RADICAL HOSPITALITY

- We want to “knock the socks off” our guests with friendly, helpful and timely service.
- We want to exceed expectations.
- We want the experience to be seamless.

AWESOME ATMOSPHERE

- Our restaurants are spotless – from litter-free parking lots to sparkling rest rooms.
- We maintain a welcoming environment where our guests love to gather, with comfortable seating and great music.
- We welcome everyone – from kids to grandparents.
- We provide WiFi for all our guests.

POLICIES

This Team Member Handbook has been written to provide you with general information about our policies. We are continually reviewing this handbook. The most current Team Member Handbook is always available by asking your General Manager.

These policies are in place for a good reason – sometimes it has to do with safety and sometimes it has to do with maintaining a pleasant environment for everyone.

We're only going to say this once: if you break these policies, you could be terminated. In some cases, like acts of violence or harassment, you will be terminated.

G-RATED COMPANY

WE ARE A G-RATED COMPANY! Team Members and guests are welcomed and promised a courteous and enjoyable environment, free from harassment, obscenity and intimidation.

This applies to all of us – from every role in the restaurants to everyone in our Support Center.

THIRTY-DAY TRIAL

Employees are hired on a thirty-day trial. After that time, you and your supervisor should know if you would both like to continue the relationship. Both sides must feel that they would like to continue the relationship for it to work.

ATTIRE

On every shift, please wear the branded items you will be given along with jeans, black pants or khaki pants – no shorts.

- Always wear clean, well-fitting clothes and use good personal hygiene.
- If your hair falls below your collar it must be put into a ponytail or bun to keep it out of the food.
- Non-skid, closed toe shoes must be worn.
- Management always wears a polo-style shirt or other collared shirt.
- No jewelry or watches in any of the food prep areas. Earrings and rings may be worn in the serving areas as long as earrings are not larger than a nickel.
- Gloves must be worn at all times during food contact.
- Face masks should be worn as required by government authorities.

PAY

We hire top performers and pay them what they are worth. We use ADP for our payroll processing. You must sign up with ADP before you will be paid. Your manager will give you instructions to register your ADP account so you will have access to your pay statements and W-2's.

HOURS WORKED

You must clock in and clock out on the POS register system for your shifts and breaks. This serves as a means of recording the time that you work. It is your responsibility to ensure the accuracy of your hours worked. You must check in with the Manager on Duty prior to clocking in and clocking out. No Team Member may clock in and out for another Team Member.

PAYROLL PERIOD

The standard pay period is two weeks starting on a Monday and ending on Sunday two weeks later. Employees will receive their pay by direct deposit or paycard on the following Friday. When a payday falls on a company-observed holiday, pay will be received on the last working day prior to the holiday.

PAYROLL DEDUCTIONS

Your earnings and payroll deductions are available on our ADP payroll system. Any questions about your compensation should be directed to your General Manager.

EMPLOYEE MEALS

You will have a thirty-minute unpaid break for meals if you are working a shift of more than 4 hours. This break will be determined by your Manager dependent on sales volume and time of day. Employee meals are 75% off to all Team Members and must be rung up on the register by your Manager. You will go through the line to order your food. You cannot use the Moe's App Rewards. This benefit does not extend to family or friends. Please see the Employee Meal policy page for further details.

EMPLOYEE BREAKS

Designated break times will be set as necessary by your Manager.

DAYS OFF

Because we do the store schedules two weeks in advance, any requests for days off must be submitted to your General Manager two weeks ahead of time.

HOLIDAYS

We are open every day of the year except the following:

- Easter – closed
- July 4 – close at 4pm
- Thanksgiving Day – closed
- Christmas Eve – close at 4pm
- Christmas Day – closed
- New Year's Eve – close at 4pm

We also honor all religious and cultural holidays. You should feel free to honor yours by taking time off as appropriate.

OVERTIME

Federal law places employees into one of two classifications:

1. Exempt employees hold management level positions and are not eligible for overtime pay.
2. All other employees are nonexempt and as such are eligible for overtime pay.

You must have prior approval from your General Manager to work overtime. The pay rate for overtime is usually 1-1/2 times your regular rate of pay but will depend upon applicable laws. Overtime will be paid to nonexempt employees in accordance with State law, typically on all hours over 40 worked in any one week.

ABSENTEEISM AND TARDINESS

Show up on time for your scheduled shift. Calling out affects the entire team and our guests. It leaves us short-handed and all your Team Members are forced to work harder to fill your spot.

If you are going to be late for your shift, you **MUST** call the restaurant and speak with a Manager. You may not leave a message with another Team Member.

If you cannot work your shift, it is **YOUR RESPONSIBILITY** to call another Team Member and cover your shift. You must get approval from a Manager for any changes to the schedule.

There is a group chat for all store communication. Use it!

MANAGER'S SCHEDULE

- Managers must be working five 10-hour days (50 hours per week).
- Managers shouldn't work the same shift.
- Managers shouldn't be coming in earlier than 8:00am unless your catering load requires it.
- Managers must be working a schedule that rotates weekend days off. Each manager should have at least one weekend day off.

Shifts (for restaurants closing at 9:00pm):

- Open: 8:00am–6:00pm
- Close: 12:30–10:30pm
- Mid: 10:00am–8:00pm

General Managers should be closing at least one day a week. Rotate this day so that you can oversee what's going on various days of the week.

PAID TIME OFF (PTO)

PTO is available to: Operating Partners (4 weeks/200 hours), General Managers (2 weeks/100 hours), Managers (2 weeks/100 hours) and salaried office team members.

- A year means the current calendar year.
- PTO time does not roll over year to year. Use it or lose it.
- We do not pay out unused vacation time in cash.
- You must be in position six months before you get a week of PTO.
- PTO for new hires or promotions is prorated based on your hire/promotion date.
- PTO must be used in blocks of not less than one day.
- PTO should be scheduled in advance and is subject to approval by your General Manager.
- All PTO time is tracked in ADP and must be approved by your General Manager prior to submitting the request.
- All PTO must be reported to your District Manager for tracking and weekly payroll hours reporting.

VOLUNTEER TIME OFF

We pay every full-time employee 20 hours per fiscal year and every part-time employee 10 hours per fiscal year to volunteer at the charity or public entity of their choice. Complete a Volunteer Time Off Request Form and have it approved by your General Manager ahead of time.

You must wear a Moe's shirt while working your volunteer hours. Take a picture of yourself volunteering in your Moe's shirt so that it can be posted on your store's Community Bulletin Board.

REFERRAL BONUS

Referral bonuses are given as follows:

- **General Manager – \$2,000:** \$1,000 after completion of training and the remaining \$1,000 after 90 days. All store employees are eligible.
- **Manager – \$1,000:** \$500 after completion of training and the remaining \$500 after 90 days. All store employees are eligible except the same store General Manager.
- **Shift Leader – \$500:** \$250 after completion of training and the remaining \$250 after 90 days.
- **Hourly Employee – \$100:** Paid after 90 days. The new team member also receives \$100 after 90 days.

CATERING VANS

All drivers will go through a screening process for prior driving violations. Catering vans are company assets and must be treated with care.

Catering vans are to be used for the following Company purposes only:

- Delivery of caterings
- Taking deposits to the bank
- Company related errands such as going to the store for food or office supplies
- Transportation to company meetings and events

Van maintenance responsibilities:

- The van must be kept clean inside and out
- Wrapped vans may only be taken to a hand car washing service center

- Registration and insurance cards must be kept in the glove compartment at all times
- Have the oil changed every 5,000 miles
- Maintain proper tire pressure
- Report all maintenance issues to your General Manager/District Manager

DISCRIMINATION, HARASSMENT AND BULLYING

We will not tolerate discrimination of our employees based on their physical appearance, national origin, marital status, race, ethnicity, skin color, gender, age, citizenship, religion, sexual orientation, education, socioeconomic background, leisure activities, disabilities, hobbies, culture, or other classifications protected by applicable federal, state or local laws.

We will not tolerate any kind of harassment or bullying of our employees.

An employee who feels they are a victim of discrimination, harassment or bullying should report it immediately to their General Manager, District Manager or the CEO of the Company. We will conduct a prompt and confidential investigation.

VIOLENCE IN THE WORKPLACE

All employees should be treated with respect and dignity. We have a no-tolerance policy when someone endangers another Team Member or guest. You are responsible to immediately report any acts of violence that you witness to your General Manager. Weapons are not permitted on restaurant property.

DRUG-FREE AND ALCOHOL-FREE ENVIRONMENT

If you are “under the influence” of alcohol and/or drugs, you cannot work for us because we are a drug- and alcohol-free environment. Period. An employee involved in an on-the-job accident may be asked to submit to drug and alcohol tests.

NON-SMOKING POLICY

We do not allow smoking or vaping in the building, in the catering vans or any place where guests can see you. If you must smoke or vape, the area behind the dumpster is probably best.

CELL PHONE USE

No cell phones while you are working except for Managers who may need to take calls from guests, catering or Team Members. In case of emergency, give people the restaurant’s number. Headphones are not allowed in our restaurants.

FRIENDS AT WORK

We want to provide a family atmosphere while you are at work but if you have a relationship with a fellow employee and allow it to affect your job performance, one of you won’t have a job for long.

VISITORS

We understand that friends and relatives may choose to eat at our restaurant and that this can happen while you are working. Please take special care to see that your job responsibilities aren’t ignored in favor of visiting.

PAY INCREASES

Pay increases are based on living up to our Values, the commitment you show your General Manager, how your peers feel about you and your leadership ability. There is no pre-set raise pool that determines percentage raises.

PERFORMANCE EVALUATIONS

Performance evaluations occur daily. We expect that all Team Members demonstrate continuous improvement.

UNACCEPTABLE JOB PERFORMANCE

Your Manager will first advise you verbally if you are not performing to acceptable standards.

If satisfactory improvement isn't made, you will receive a written warning for review and action.

Three strikes and you're out.

PERSONAL INFORMATION

If there are any changes in your name, address, telephone number, emergency contact information, number of dependents or military status, please notify your General Manager.

CREDIT AND CASH HANDLING POLICY

You must ring up all sales transactions into the register. Tender for sales transactions is accepted in the form of cash, credit card or coupon. Under no circumstances may credit card vouchers be copied or altered in any way.

We do not give cash advances on credit cards. We do not accept personal checks. If you steal from us, you will be prosecuted.

REPORTING ACCIDENTS / WORKERS COMPENSATION

Any accident, no matter how small, involving a guest or an employee, must be reported immediately to your Manager. We maintain Workers' Compensation insurance on all employees which covers any job-related accident or illness.

ROBBERY

In the event you are involved in or witness a robbery while at work, fully cooperate with the assailants – give them anything they want. Nothing in the building is worth the safety of you, your fellow Team Members or our guests. As soon as everyone's safety has been ensured, notify the police and your Manager.

SAFETY

It is important to us to provide a safe and healthy environment for every employee and guest. Always conduct yourself in a safe manner, use good judgment and common sense, and follow all OSHA/state safety regulations.

- Wipe up all spills immediately. Keep floors clean and dry. Stand up a "Wet Floor" sign anywhere the floor is not completely dry.
- Pick up any foreign object you see on the floor.
- Use correct equipment for all duties. Do not try shortcuts or substitutions.
- Keep all corridors and walkways free of cords, hoses or other tripping hazards.
- Report faulty equipment to your supervisor.
- Use a brush and pan to pick up broken glass – never your fingers.

- Do not put any items on top of or in front of the electric panels.
- Learn the fire evacuation rules and emergency fire/evacuation procedures.
- Ask for help when you cannot safely lift materials or equipment yourself.
- Always wear a cutting glove when handling a knife.

SECURITY / LOSS PREVENTION

- All Team Members must arrive and leave by the front door.
- All doors must be kept locked until the restaurant is open for business.
- Do not open the door to anyone you do not personally know when the restaurant is closed.
- Never open the back door to anyone after dark under any circumstances.
- Do not take out the trash after dark.
- Be especially careful at restaurant opening and closing, as these are the most vulnerable times for robberies.
- There should always be at least two people in the restaurant – do not work alone.
- After the restaurant is closed for the day, check each bathroom with another employee before starting clean-up.
- Report strange or suspicious incidents and visitors to the police.
- Do not bring valuables to work. We recommend that you leave backpacks and purses in the trunk of your car.
- Firearms and personal knives are not allowed.

INSURANCE & BENEFITS

Medical / Dental / Vision

We offer Medical, Dental, and Vision benefits to all salaried employees. Coverage is available on the first day of the month following a 60-day waiting period.

Hourly employees are eligible for medical, dental, and vision benefits after they have worked an average of 30 hours/week for a 12-month period.

Life and Long-Term Disability (LTD)

The company will pay for \$20,000 of life insurance and LTD insurance for all salaried employees, regardless of whether you enroll in the other benefits. You will be eligible on the first of the month following a 60-day waiting period. Make sure that you enter your beneficiary information in your ADP profile.

Short Term Disability (STD) / Additional Life Insurance

Salaried employees are offered the opportunity to enroll in additional coverages for STD and life insurance. These will be detailed in the benefits booklet and available in ADP during your enrollment period.

LEAVES OF ABSENCE

A leave of absence is an extended period of time absent from work without loss of employment, but without pay. A written request must be presented to your supervisor as soon as the need arises.

Bereavement

Full-time employees may have up to two working days, with pay, to handle family affairs and attend the funeral of someone in your immediate family.

Disability

A leave of absence for medical disabilities, including pregnancy disability, will be granted for a period not to exceed three months. When you return to work, you will be reinstated in the same or substantially similar position.

Jury Duty

Please let your supervisor know as soon as possible after receiving notification of jury duty. We will pay the difference between your regular earnings and the fee you receive for jury service if you provide a copy of your jury duty check to your Manager.

Family and Medical Leave (FMLA)

Under the Federal Family and Medical Leave Act (FMLA), team members are eligible for leave if they have worked for Sterling Restaurants LLC for at least 12 months and have worked a minimum of 1,250 hours during the 12 months before the start of the FMLA leave.

Please see your General Manager or District Manager for the complete FMLA Policy.

Maternity and Paternity Leave

The FMLA allows for 12 weeks of unpaid leave for the birth of a child for all employees with at least one year of service and who have worked at least 1,250 hours during the prior 12 months.

For salaried management team members who have been in position at least one year and are the mother of the child:

- After using available PTO, you will receive six weeks of leave for a natural delivery and eight weeks for a Cesarean delivery.
- You will receive 50% of your current compensation rate during the leave period.

Paternity Leave: Salaried managers who are the father of the child and have been with the company at least one year will receive three days of paid time off or one week at 50% of salary.

Military Leave

A military leave of absence will be granted to employees who are absent from work because of service in the U.S. uniformed services in accordance with USERRA. The leave will be unpaid. However, employees may use any available PTO for the absence. Sterling Restaurants thanks you for your service.

401(K) PLAN

Start saving now for your future. Highlights of the 401(k) Plan:

- An employee is eligible if they are at least 18 years of age and have 6 months of service by the next plan entry date
- You may contribute 1%–90% of your earnings
- Sterling will match 25% of your contribution with a maximum match of \$1,000 per calendar year
- You will be fully vested after one year of service

MEDIA INQUIRIES

Employees must direct all media inquiries to your General Manager and District Manager. No employees may speak with the media or conduct interviews on our property.

PROPRIETARY INFORMATION / CONFIDENTIALITY

We protect proprietary information by restricting employee and visitor access to certain designated company areas and documents to only those who have business reasons. You must agree to keep our information secure.

ACKNOWLEDGEMENT OF TEAM MEMBER HANDBOOK

This Team Member Handbook is an important document intended to help you become acquainted with our policies. This document is intended to provide guidelines and general descriptions only; it is not the final word in all cases. Individual circumstances may call for individual attention. Things change and the contents of this Handbook may be changed at any time, with or without notice.

Please read the following statements and sign below to indicate that you have read and understood the following:

3. I have received and read a copy of this Team Member Handbook and know how to locate the latest copy.
4. I have been given enough time to read this Team Member Handbook and to ask questions of my Manager.
5. I understand that the policies, rules and benefits described in it are subject to change at the sole discretion of the company at any time.
6. I understand that my employment is terminable at will, either by myself or the company, with or without cause or notice, regardless of the length of my employment or the granting of benefits of any kind.
7. **I AGREE TO ABIDE BY THE POLICIES AS SHOWN IN THIS TEAM MEMBER HANDBOOK.**

Employee Signature

Date

Employee Name (Please print)